

Corporate governance report

The Board has established a clear governance structure as set out in the below diagram and the overall approach has been designed to support and work within the Group organizational structure to ensure the accountability, fairness and transparency in how the Group runs and communicate with its stakeholders as well as to meet the future challenges.

Governance structure



Key matters reserved to the Board decision

- The Board has adopted a schedule of key matters relating to strategy, finance and corporate governance which are for decision by the Board.
- Such key matters reserved by the Board for decision is set out in the table on page 83.

Board committees structure

- The Board has delegated authority for its key governance functions to three main committees, namely Audit Committee, Compensation Committee and Nomination and Governance Committee (the “Board Committees”), with the responsibilities outlined on page 89.
- Details of the activities and decisions taken by these committees during the year are shown in the relevant committees’ reports.

CEO, Lenovo Executive Committee and delegated authorities

- The CEO**
- manages the business in line with the strategy agreed by the Board and is accountable to it. Details of the responsibilities of CEO are set out on page 64;
 - is supported by the Lenovo Executive Committee, which is a management committee comprising the CEO and certain members of senior management and helps to implement strategy and manage operational performance; and
 - through authority framework adopted by the Group through which he delegates certain management decisions to specific individuals and management.
- The CEO Advisory Council**
- comprises external experts in areas (the “Specialized Areas”), including geopolitics, economics, cybersecurity and Environmental, Social and Governance (“ESG”); and
 - advises the CEO and senior management on strategic and operational issues in key areas, among others, the Specialized Areas.
- ESG Executive Oversight Committee**
- is a committee chaired by the Chief Legal and Corporate Responsibility Officer and comprising senior management from across the business and functional units;
 - is chartered to promote Lenovo culture that encourages strong ESG performance; and
 - provides strategic direction and facilitates the coordination of ESG efforts across the Group.

Corporate culture

“We Are Lenovo” is Lenovo’s culture and the way Lenovo work together as one team. “We do what we say. We own what we do. We wow our customers.” is the essence of Lenovo’s culture. The cultural values are the guiding principles for all Lenovo employees to collaborate and excel together by implementing strategies in achieving Lenovo’s vision and mission.



Throughout FY2023/24, Lenovo continued to enhance the culture engagement initiatives globally through employees’ culture stories sharing, Big Bang Forums and Innovation Series, which helped employees to embrace Lenovo’s culture values in their day-to-day work and make business impact to support service-led transformation. Employees could learn skills related to the culture values on Grow@Lenovo learning platform.

To ensure the alignment of Lenovo’s culture, vision, mission, values and strategy, regular Board meeting is held every quarter. In FY2023/24, the Board reviewed the annual achievements and discussed the next year Corporate Strategy in February 2024. Further, reports from the CEO and the Chief Financial Officer (the “CFO”) (“CEO and CFO Report”) are submitted and presented to the Board in quarterly Board meetings to monitor and evaluate the progress of critical strategic initiatives and quarterly performance of Lenovo.

For more information about Lenovo’s culture and the 3S Strategy with strategic achievements during FY2023/24, please refer to Lenovo’s “[Explore Career Opportunities](#)” website, the “Chairman & CEO statement” and “Management’s discussion & analysis” sections of this annual report respectively.

Corporate governance report

② Leadership



Board roles

As of the date of this annual report, there are 12 Board members consisting of one executive director, two non-executive directors and nine independent non-executive directors. The Board has a coherent framework with clearly defined responsibilities and accountabilities designed to safeguard and enhance long-term shareholder values and provide a robust platform to realise the strategy of the Group. A summary of responsibilities of leadership of the Company and those of the Lead Independent Director is set out in the diagram below.

Chairman

Mr. Yang Yuanqing ^N

- Leads the Board in the strategy determination and the objectives achievement
- Leads the Board to align Lenovo culture with its vision, mission, values and strategy and ensures that all directors acting with integrity, lead by example, and promoting the desired culture
- Provides leadership and manages the Board to ensure that all directors are properly briefed on issues arising at Board meetings and receive adequate, complete and reliable information in a timely manner
- Approves the agendas for Board meetings, taking full account of the issues and concerns of Board members
- Facilitates and encourages active engagement of Board members by drawing on directors' skills, experience and knowledge
- Ensures good corporate governance practices and procedures are established and effective communications with shareholders and other stakeholders

Lead independent director

Mr. William O. Grabe ^C ^N

- Serves as chairman of the Nomination and Governance Committee meeting and/or the Board meeting whenever considering the combined roles of the Chairman and CEO
- In consultation with all other board members, prepares an assessment of the performance of the Chairman and/or CEO
- Calls and chairs meeting(s) with all non-executive directors at least once a year on matters deemed appropriate and provides feedbacks to the Chairman and/or CEO
- Serves a key role in the Board evaluation process
- Responds directly to questions and comments from shareholders and other stakeholders of the Company that are directed to the Lead Independent Director or to the independent non-executive directors as a group, when appropriate
- Ensures his availability for consultation and direct communication, when appropriate, if requested by major shareholders of the Company
- Performs other duties as the Board may designate

Non-executive directors

Independent non-executive directors:

Mr. William O. Grabe ^C ^N
Mr. William Tudor Brown ^C ^A
Mr. Gordon Robert Halyburton Orr ^A ^C
Mr. John Lawson Thornton ^N
Mr. Kasper Bo Roersted (alias Kasper Bo Rorsted) ^A ^C
Mr. Woo Chin Wan Raymond ^A
Ms. Yang Lan ^N
Ms. Cher Wang Hsiueh Hong
Professor Xue Lan ^N

Non-executive directors:

Mr. Zhu Linan
Mr. Zhao John Huan ^C

- Participate in Board meetings to bring an independent judgement on issues of strategy, policy, performance, accountability, resources, key appointments and standards of conduct
- Take the lead where potential conflicts of interests arise
- Scrutinise the Group's performance in achieving agreed corporate goals and objectives, and monitor performance reporting
- Make a positive contribution to the development of the Group's strategy and policies through independent, constructive and informed comments
- Ensure to align Lenovo culture with its vision, mission, values and strategy, and ensures that all directors acting with integrity, lead by example, and promoting the desired culture. Such culture should instil and continually reinforce across Lenovo values of acting lawfully, ethically and responsibly
- Engage with senior management and other relevant parties to ensure that various concerns and issues relevant to the management and oversight of business and operations of the Group are properly addressed

Chief executive officer

Mr. Yang Yuanqing ^N

- Formulates and recommends the strategy of the Group to the Board
- Executes the strategy agreed by the Board
- Makes and implements operational decisions and manages the business day-to-day
- Leads the business and the management team

Key

^A Audit Committee

^C Compensation Committee

^N Nomination and Governance Committee

[●] Committee Chairman

Board composition, diversity and tenure

The structure, size and composition (including but not limited to gender, age, skills, experiences and length of service) of the Board will be reviewed from time to time regularly by the Nomination and Governance Committee to ensure that the Board has a balance of skills and expertise for providing effective leadership to the Company and meeting the needs of the Group.

The Board adopted a board diversity policy (the “Board Diversity Policy”) aiming to set out the Company’s commitment to fostering a corporate culture that embraces diversity on the Board. A summary of the Board Diversity Policy including the views and measurable objectives is set out on page 68 of this annual report.

The following diagram illustrates the composition and diversity profile of the Board as at the date of this annual report while the detailed biographies of the directors are set out on pages 143 to 147 of this annual report.

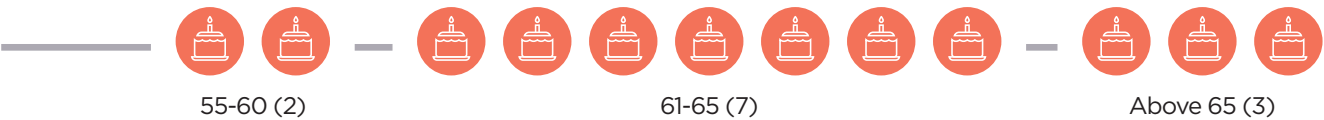
Designation



Gender

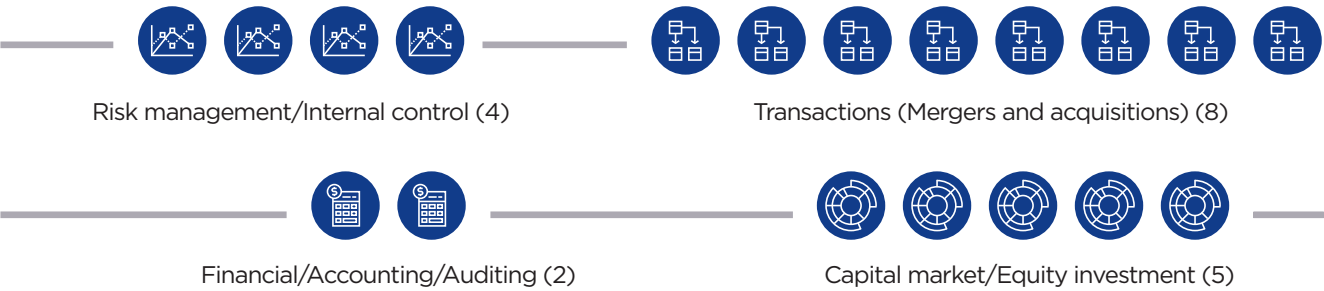


Age



Corporate governance report

Finance



Global operation



Strategic planning



Legal/Regulatory & compliance



ESG



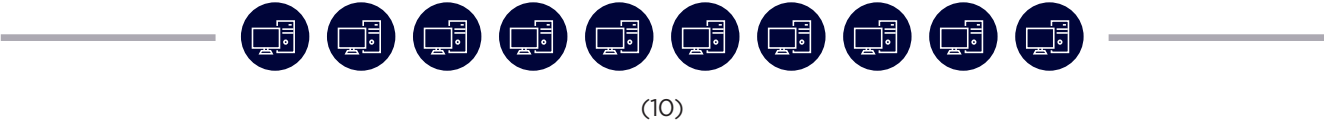
Marketing/Advertising/Research and development (R&D)



Investor relations



Information technology industry



Key features of the Board composition



Diversity

The Board has a balance of gender, ethnicity, cultural background and skills with a mix of regional and industry experience.



Independence

The current composition of the Board exceeds the requirements under rules 3.10 and 3.10A of the Listing Rules, as three-quarters of its members are independent non-executive directors, thus exhibiting a strong independent element which enhances independent judgement.

Mr. William O. Grabe, an independent non-executive director of the Company, was appointed as the Lead Independent Director for enhancing corporate governance of the Company. The roles and responsibilities of the Lead Independent Director are set out on page 64 of this annual report.



Relationship among directors

Mr. Zhu Linan and Mr. Zhao John Huan, non-executive directors of the Company, also serve on the board of directors of Legend Holdings Corporation, which held approximately 31.41% of the total number of shares in issue of the Company as of March 31, 2024 according to the interest as recorded in the Company's register maintained under the Securities and Futures Ordinance (Chapter 571 of the Laws of Hong Kong) (the "SFO"). The details are set out on page 112 of this annual report and pages 155 to 156 under Directors' report of this annual report.

To the best knowledge of the Board members, there is no other relationship among the members of the Board as of the date of this annual report except for the relationships (including financial, business, family, and other material and relevant relationships) as mentioned in the biographies of directors set out on pages 143 to 147 of this annual report.

Corporate governance report

Board diversity policy

The Board values diversity as a factor in selecting candidates to serve on the Board and believes that the diversity which exists in its composition provides significant benefits to the Board and the Company and forms an important part of the nomination policy (the “Nomination Policy”) as adopted by the Board.

The Board believes that a key success factor of an effective Board is that it comprises a range and balance of skills, experience, knowledge and independence, with individuals that work as a team. The adoption of Board Diversity Policy is to ensure that diversity in its broadest sense continues to remain a feature of the Board. All Board appointments are made on merit, in the context of the skills, experience and gender diversity, the Board as a whole requires being effective. The details of the appointment process are disclosed on page 71 of this annual report.

The Nomination and Governance Committee has been delegated with the responsibilities for the review of the Board Diversity Policy, among others, the implementation and effectiveness thereof, on an annual basis. During FY2023/24, the Nomination and Governance Committee reviewed the below measurable objectives and the progress in achieving these objectives:

Measurable objectives		Progress for achieving objectives
	Objective 1 Consider candidates for appointment as independent non-executive directors from a wide pool of candidates with different backgrounds, skills, experience and perspectives that would complement the existing Board's diversity	• In FY2023/24, the Board has appointed two independent non-executive directors pursuant to the Nomination Policy and the Board Diversity Policy • For FY2023/24, the female representation at Board level was about 16.67% (i.e. two female directors out of 12 directors). It is targeted to reach 20% female Board by FY2025/26 to promote diversity of the Board • On-going search for appropriate candidates to be appointed as independent non-executive directors and to add diversity to the existing Board • In the ordinary course of the Board succession process
	Objective 2 Report annually against the objectives and other initiatives taking place within the Group which promote diversity	• The Board evaluation process includes an assessment of the Board's diversity helping to objectively consider the Board composition and effectiveness • Ongoing annually
	Objective 3 Report annually on the outcome of the composition and structure of the Board as well as any issues and challenges the Board is facing when considering its diverse combination	• Make use of the Board evaluation process as an important means of monitoring the progress • Remain committed to getting the right balance of the composition of the Board and work towards understanding and managing some of the challenges the Group faces in the global information technology sector, particularly in internet, mobile, data center, software, cloud, services and solutions, telecommunications, artificial intelligence areas and ESG • Ongoing annually

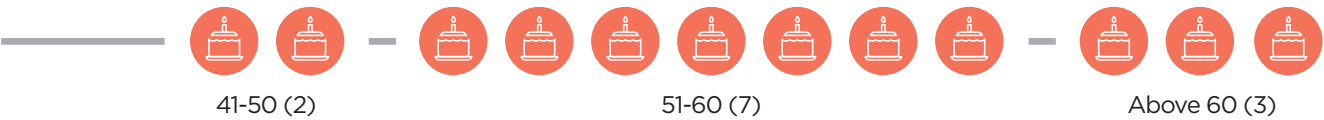
Senior management diversity

With support of a diversified management team is also essential to the effectiveness of the Board. As at the date of this annual report, the Company’s senior management has a balance of diversity, among others, genders and age as illustrated in the following diagram. For further details of the senior management of the Company, please refer to their biographies are set out on pages 147 to 150 of this annual report.

Gender



Age



Workforce diversity

As a global technology leader, assembling a diverse workforce that achieves its full potential through an inclusive culture is fundamental to Lenovo’s competitive success. Working toward a gender balanced workforce is core to Lenovo’s diversity. While FY2023/24 data shows a 37% female global workforce and industry-leading 29% female representation in technical roles, Lenovo has chosen to focus its global target on increasing representation of female executives. After meeting and exceeding 2020 executive representation targets (20% representation target, 21% percent achieved), Lenovo has established new goals to further advance our global female executive representation. Currently with 22% executive representation of women, Lenovo is persistently working towards this goal by coordinating with business leaders to ensure ownership and accountability. Lenovo has increased talent sourcing activities, established goals for hiring slates, and focused on diverse talent development and retention. The target aims to reach 27% female executive representation by 2025 and is led by Lenovo’s Diversity and Inclusion Board, chaired by the Chief Diversity Officer.

To achieve its global female executive representation goal, Lenovo recognizes that it must foster a strong pipeline of diverse talent. It provides several career development programs to create that pipeline through learning, sponsorship, and mentorship programs in partnership with its employee resource groups, business leaders, and Human Resource teams. The Women’s Leadership Development Program to develop female executive talent is the longest-running program of its kind at Lenovo, with its eighth cohort of high potential women leaders graduating in 2024.

Corporate governance report

Tenure

In accordance with the articles of association of the Company (the “Articles of Association”), all directors are subject to retirement by rotation. At each annual general meeting, one-third of the directors for the time being shall retire from office. The retiring directors shall be eligible for re-election. New appointments either to fill a casual vacancy or as an addition to the Board are subject to re-election by shareholders of the Company at the next following annual general meeting of the Company. The chart below shows the tenure of the Board members as of the date of this annual report.

Tenure of Board members



All non-executive directors (including independent non-executive directors) have entered into letters of appointment with the Company for a term of three years. Their terms of appointment shall be subject to retirement from office by rotation and re-election at the annual general meeting in accordance with the Articles of Association.

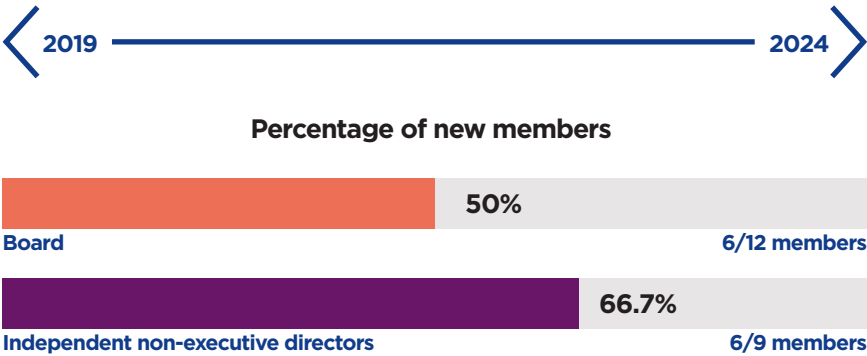
The Company agreed that the independence of directors is an important principle of the Company. In line with the best practices on corporate governance, the Board adopted the principle (the “Principle”) that each term of an independent non-executive director of the Company shall not be more than three years and shall, subject to re-election by shareholders at any subsequent annual general meeting of the Company, be renewable for additional three-year terms up to a maximum of nine years. At the recommendation of the Nomination and Governance Committee, the Board may invite an independent non-executive director to serve for an additional three-year term extending up to a total of 12 years subject to re-election at any subsequent annual general meeting of the Company.

In accordance with the Articles of Association, Mr. Zhao John Huan, Mr. Gordon Robert Halyburton Orr, Ms. Cher Wang Hsiueh Hong, Professor Xue Lan, Mr. John Lawson Thornton and Mr. Kasper Bo Roersted will retire (if applicable) and being eligible, will offer themselves to be re-elected at the forthcoming annual general meeting to be held on July 18, 2024 (“2024 Annual General Meeting”).

Refreshment of the Board

The Board’s diversity and independence are enhanced by refreshing the composition of the Board. As part of the Company’s continuing efforts to refresh the Board, the Board has appointed two independent non-executive directors with solid experience, fresh ideas and different skills in FY2023/24. The appointment further enhances the strong independent element of the Board and adds value to the Board from the balance of skills, knowledge, experience and diversity perspectives. The diagram below shows how the Board has been refreshed since January 2019.

Over the period from January 2019 to May 2024



Nomination, appointment and election

Nomination policy

The Nomination Policy guides the Nomination and Governance Committee and the Board on nomination of candidates for the Board. This policy sets out the selection criteria, tenure, election/re-election requirements and nomination procedure, details of which are set out below.

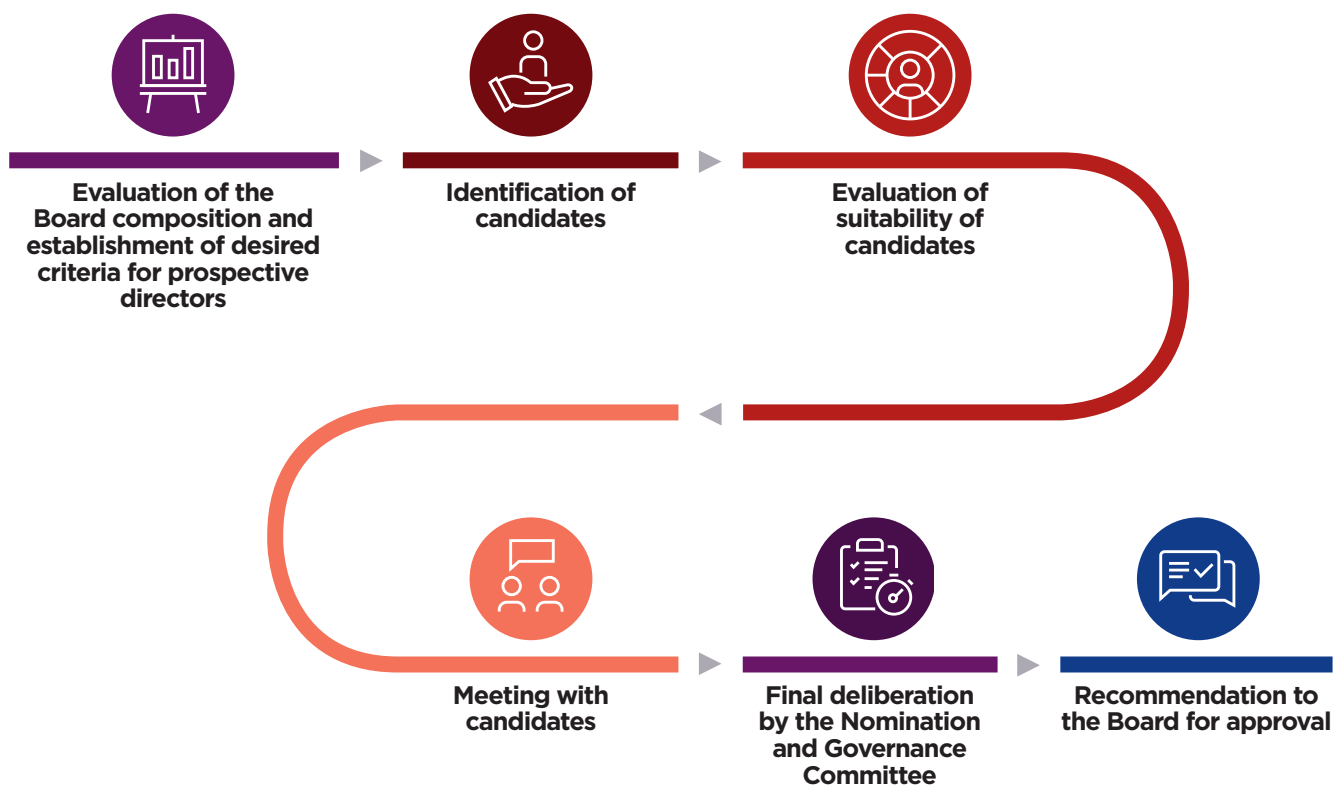
Nomination and appointment process

The Board recognises the need to ensure the Board and senior management are always well resourced, with the suitable people in terms of skills and experience to deliver the Group's strategy.

There is a formal and transparent procedure for the appointment of new directors to the Board, the primary responsibility of which has been delegated to the Nomination and Governance Committee. The Nomination and Governance Committee is composed of the Chairman and four independent non-executive directors. This composition ensures that any decisions made are impartial and are in the best interest of the Company.

The Nomination and Governance Committee's assessment of the candidates includes, but not limited to, the independence under the Listing Rules, consideration of the relevant knowledge and diversity of backgrounds, gender, skills, experience and perspectives that would complement the existing Board.

The Nomination and Governance Committee also ensures that candidates satisfy the requisite skills, experience and core competencies, commensurate with the position as directors of a listed company. The nomination process involves the following six stages:



Corporate governance report

Independence

The independent non-executive directors do not participate in the day-to-day management of the Group and do not engage in any business dealing or other relationships with the Group (other than in situations permitted by the applicable regulations) in order to ensure that they remain truly capable of exercising independent judgement and act in the best interests of the Company and its shareholders.

Each of the independent non-executive directors has made a confirmation of independence to the Company. On May 22, 2024, the Nomination and Governance Committee conducted an annual review of the independence of all independent non-executive directors of the Company for FY2023/24. Having taken into account the factors as set out in rule 3.13 of the Listing Rules in assessing the independence of independent non-executive directors, the Nomination and Governance Committee (with the relevant committee member abstaining from voting on the resolutions concerning his/her own independence) concluded that all of the independent non-executive directors satisfied the criteria of independence as set out in the Listing Rules. With support of the Nomination and Governance Committee's review on the independence of all the independent non-executive directors through the independence assessment process as set out in page 73, the Company confirmed that all the independent non-executive directors are independent.

The Nomination and Governance Committee affirmed that all independent non-executive directors of the Company provided a strong independent element on the Board, were free from any business or other relationship which could materially interfere with the exercise of their judgement, and remained independent for FY2023/24. The diagram below shows the independence weighting of the Board and the Board Committees as of March 31, 2024 and the date of this annual report.

Independence weighting

